Managing Innovation as a Strategic Capability

Why Competitive Advantage Depends on More Than Technology and New Ideas

A strategic perspective for business and innovation leaders

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Executive Perspective

Innovation has become a permanent feature of corporate strategy. Organisations invest in emerging technologies, establish innovation teams, develop new products and encourage employees to generate ideas. Yet despite these efforts, many struggle to translate innovation activity into sustained competitive advantage.

The underlying problem is not necessarily a shortage of ideas or technological opportunities. It is often a lack of clarity about what the organisation must become capable of doing to create value from them.

A technological breakthrough does not automatically become a commercial success. A new product does not necessarily create more value than improving an existing process. And access to advanced technology does not guarantee that an organisation can apply it effectively. These distinctions matter increasingly as artificial intelligence and other digital technologies become more widely accessible.

> ***Innovation is not simply about creating something new. It is about developing and combining the capabilities that enable an organisation to create value in ways that were previously impossible or unattractive.***

This whitepaper examines two complementary dimensions of innovation capability, how their combination creates strategic opportunities, and the implications for innovation portfolio management. For senior management, the fundamental question becomes which capabilities the organisation must develop to create tomorrow's value.

1. Innovation and Improvement: Why the Distinction Matters

Innovation means different things to different people. An engineer may regard a new production technology as a significant innovation. An operations manager sees an opportunity to improve efficiency. A commercial manager may see little innovation if customers still receive essentially the same product. Each perspective can be valid.

These differences influence investment decisions, resource allocation, performance measures and the way initiatives are managed. Without a shared understanding, organisations risk evaluating their innovation portfolios against fundamentally different expectations.

Innovation is not automatically more valuable than improvement

Improvement generally makes existing products, services or processes perform better. Innovation introduces new functionality, applications, capabilities or ways of creating value. Yet the boundary is not always clear. A technological invention may enable a more efficient production process without changing the customer proposition. Conversely, existing technologies may be combined to create an entirely new business model.

More importantly, novelty does not determine value. A manufacturer that significantly reduces energy consumption or production costs may generate greater economic and environmental value than a new product with limited demand.

This creates a strategic paradox: organisations celebrate innovation while treating improvement as less important, even when improvement creates more value. The purpose of distinguishing between them is not to establish which is superior. It is to recognise that different forms of value creation require different capabilities, investments and management approaches.

> ***The strategic question is not whether an initiative qualifies as innovation, but what value it creates and which capabilities are required to realise that value.***

2. The Two Dimensions of Innovation Capability

Technology has historically been a powerful driver of innovation. Electricity, electronics, computing and mobile internet changed products, industries and business models. Yet technology alone does not create organisational innovation capability.

Two companies may access identical technologies but achieve very different results. The difference lies in their ability to combine technology with knowledge, people, processes, systems and other resources. An organisational capability represents what an organisation is collectively able to accomplish, rather than merely the resources it possesses.

Technology-Driven Innovation Capability

Technology-driven capability concerns the ability to identify, develop, integrate and apply technologies to improve existing activities or enable new products, processes and services. Technology creates value through two principal routes: improving existing performance, and enabling new functionality.

AI-based visual inspection illustrates both. It may improve defect detection, but implementation also requires production data, engineering expertise, system integration, operational processes and employees capable of acting on the results. Without these complementary elements, technological potential does not become operational value.

The same technology may subsequently enable predictive quality assurance or continuous production optimisation. What begins as process improvement can become the foundation for new customer propositions. Technology investments may therefore create capabilities whose future value extends beyond their original application.

Commercially Driven Innovation Capability

Commercial capability concerns understanding markets, identifying customer needs, developing attractive value propositions and translating opportunities into sustainable revenue or societal value. It involves more than marketing and sales: organisations must understand how value is perceived, delivered and captured.

Existing products may be introduced into adjacent markets. Established expertise may support new applications. Existing capabilities may be recombined to serve customers beyond the organisation's current reach.

Innovation does not always require new technology. Sometimes the opportunity lies in recognising a new commercial application for capabilities the organisation already possesses.

Combining both dimensions

R&D and engineering focus on technological possibilities, while marketing, sales and business development focus on customer needs and market opportunities. Significant innovation often emerges where these perspectives intersect.

A sophisticated product without a compelling customer proposition may create little value. An attractive market opportunity may remain inaccessible without the capabilities to deliver a solution. Leadership must therefore develop not only both dimensions, but the organisation's ability to combine them.

> ***Competitive advantage increasingly depends on how effectively technological and commercial capabilities reinforce one another.***

3. The Innovation Capability Matrix: Mapping Strategic Opportunities

The Innovation Capability Matrix, originally developed by Klokgieters (2014) and adapted from Nagji & Tuff (2012), brings the two dimensions together. Its horizontal dimension represents technological capability development, from existing technologies, products and processes towards new products, processes and breakthrough technologies. Its vertical dimension represents commercial capability development, from existing customers and markets towards adjacent and entirely new markets.

The matrix maps directions including market penetration, product and process development, market extension, new business development and business model innovation. Each direction requires different capabilities and entails different uncertainties. It is a strategic map, not a prescribed sequence.

System innovation: combining capabilities into new value

Ford's Model T illustrates the significance of combining capabilities. The transformation of automobile ownership did not result from one invention. Standardised components, manufacturing processes, supply-chain arrangements and a mass-market proposition formed a system that made car ownership accessible to a broader population.

System innovation combines capabilities to create value that the individual components cannot deliver independently.

Business model innovation: changing how value is delivered

Dell did not fundamentally reinvent the personal computer. It changed how computers were configured, produced, sold and delivered. Its direct-to-customer model combined customer configuration, supplier integration, build-to-order production and a different distribution approach. Advantage emerged from the business system, rather than a breakthrough in the underlying product.

The AI perspective

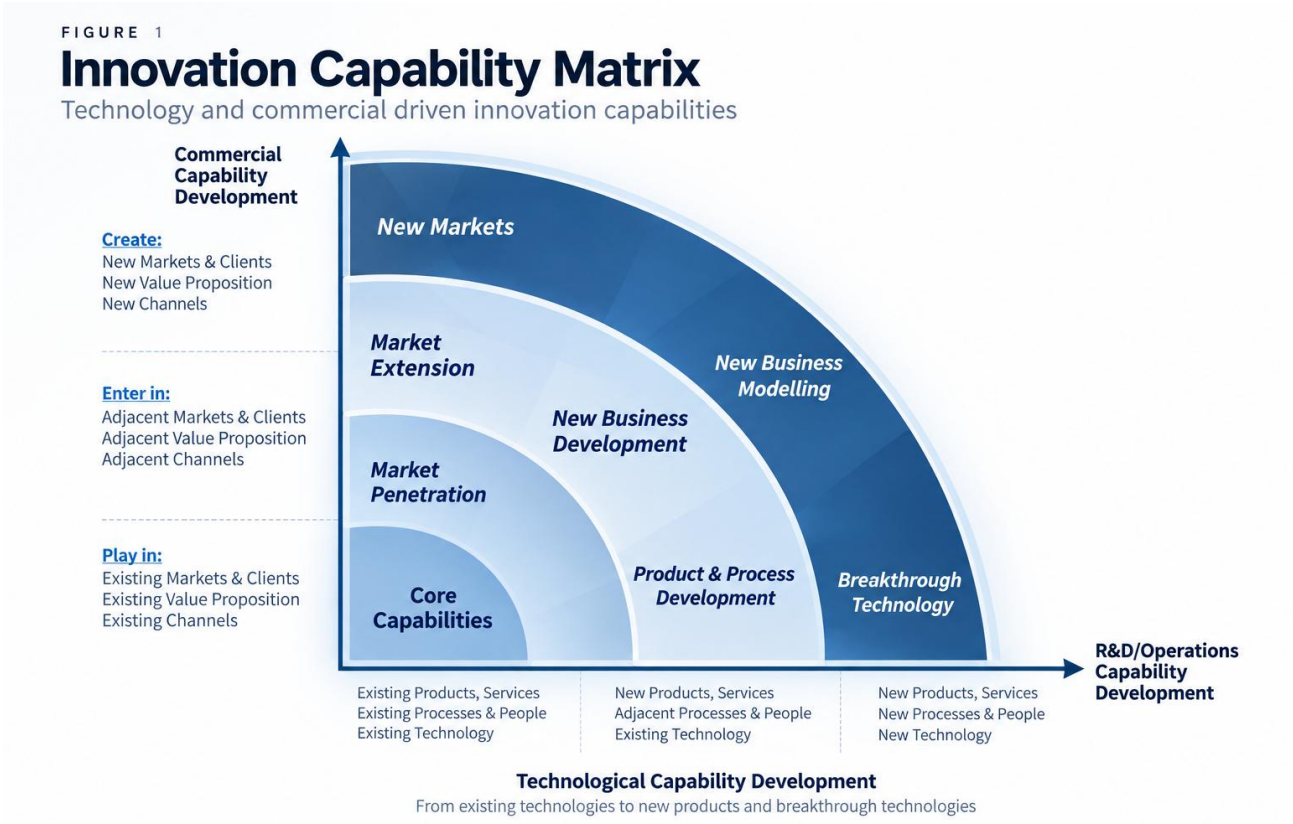
As advanced AI technologies become more accessible, organisations may share similar technological building blocks. Differentiation will depend on how they combine AI with knowledge, data, operational processes, customer relationships and human expertise.

A professional services firm may initially use AI to accelerate research and document production. The same technology could support a service model in which clients receive continuously updated insights instead of periodic reports. The technology may be similar; the organisational capabilities and commercial proposition differ substantially.

Combining unfamiliar technologies and markets increases uncertainty. Yet avoiding such opportunities altogether may restrict an organisation to improvements within its existing business. Innovation strategy must balance uncertainty with the development of new sources of value.

Figure 1. Innovation Capability Matrix

Original conceptual model: technology-driven and commercially driven innovation capabilities (Klokgieters, 2014).



4. Innovation Portfolio Management: Balancing Today's Performance and Tomorrow's Value

Organisations cannot pursue every innovation opportunity. Financial resources, management attention and capabilities are limited, while existing customers and operations demand reliable performance. Innovation strategy must therefore become a set of deliberate portfolio choices.

The Innovation Portfolio Matrix (Klokgieters, 2014) distinguishes four broad categories: business improvement, incremental innovation, radical innovation and disruptive innovation. These categories help identify different strategic ambitions and management requirements, but should not be read as universally fixed combinations of value and risk.

An operational improvement can create exceptional value. A radical innovation may never become commercially viable. Disruption depends on its effects on markets and established competitors, not simply on technological novelty.

Different ambitions require different management approaches

Business improvements often benefit from clear performance objectives, predictable planning and operational discipline. Exploratory innovations need experimentation, learning and the progressive reduction of uncertainty.

Applying identical governance to both creates problems. If exploratory work is judged too early against conventional financial criteria, promising opportunities may be abandoned. If routine improvements are treated as open-ended experiments, efficiency and accountability suffer.

Portfolio management must therefore balance investment, uncertainty, decision processes, organisational capabilities and time horizons.

Beyond the project portfolio

Most organisations manage portfolios of innovation projects. Fewer explicitly manage the capabilities those projects develop. Yet the long-term value of a capability may exceed the immediate value of the project that created it.

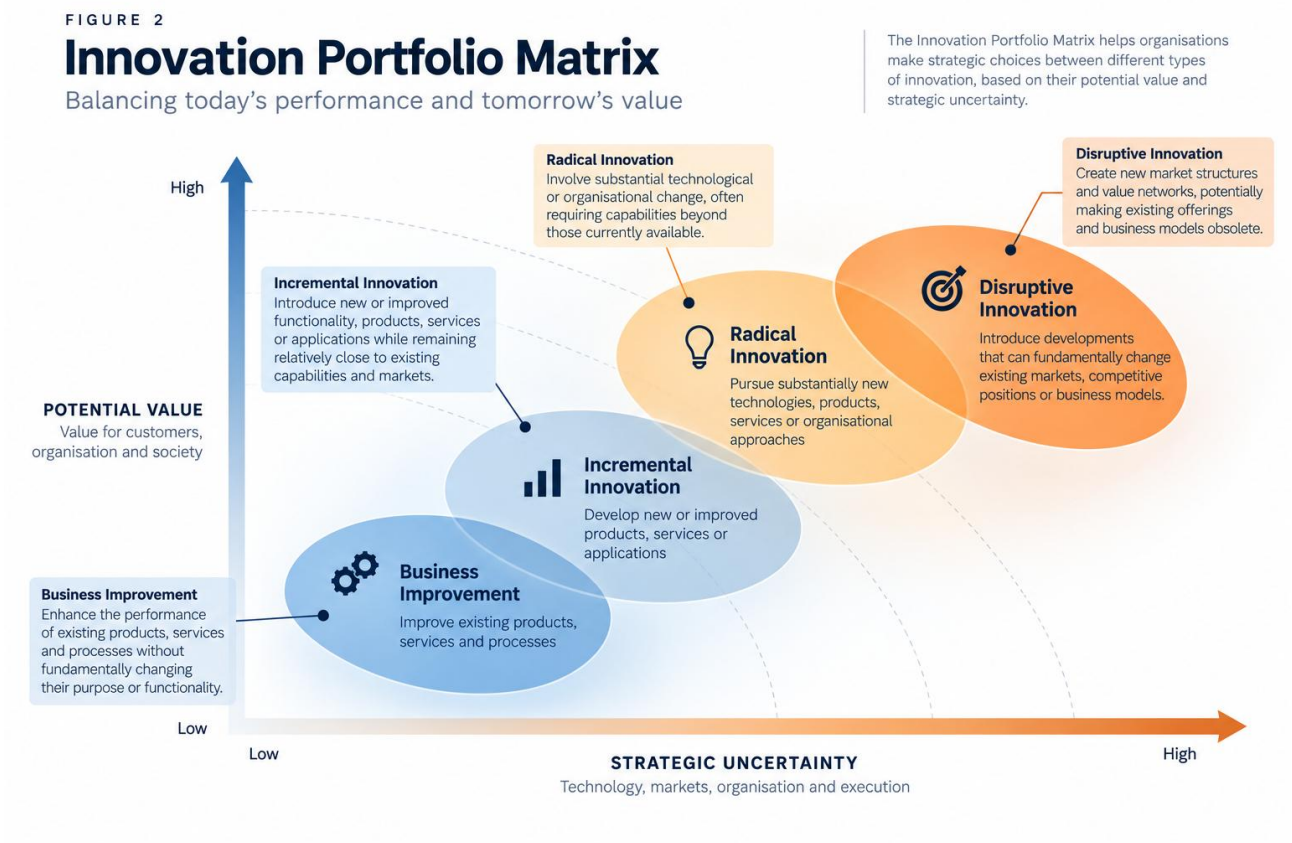
An investment in data infrastructure may initially support efficiency, but later enable predictive services, new customer propositions or alternative business models.

> ***What value will this initiative create? What capabilities will this initiative leave behind?***

The first question addresses the immediate opportunity. The second addresses the organisation's future capacity to create value. A strategically balanced portfolio considers both.

Figure 2. Innovation Portfolio Matrix

Original value/risk model (Klokgieters, 2014). The categories are used as a strategic discussion framework, not a universal empirical ranking.



The Innovation Portfolio Matrix, distinguishes four broad forms of innovation activity:

- **Business improvement:** strengthening existing performance, efficiency and quality.
- **Incremental innovation:** extending or improving products, services and capabilities within relatively familiar contexts.
- **Radical innovation:** pursuing substantially new technological or organisational possibilities.
- **Disruptive innovation:** introducing developments that can fundamentally alter existing markets, competitive positions or business models.

These categories should not be interpreted as universally fixed combinations of value and risk.

5. Managing Innovation as a Strategic Capability

If innovation depends on developing and combining organisational capabilities, responsibility cannot be confined to an innovation department. It becomes a strategic leadership responsibility.

Manage capabilities, not just innovation activities

The number of ideas generated, projects launched or technologies explored provides limited insight into innovation strength. Leaders should know which capabilities are strategically important, where gaps exist and how investment contributes to future competitive position. Innovation performance must be assessed beyond individual project outcomes.

Connect technological, commercial and operational perspectives

Innovation opportunities rarely respect organisational boundaries. Technology specialists understand what is possible; commercial teams understand markets; operations teams understand what is needed to deliver value. Leadership must create the conditions in which these perspectives interact constructively, not eliminate their differences.

Differentiate governance according to uncertainty

Existing operations demand reliability, efficiency and accountability. More radical opportunities require experimentation and learning. The challenge is governance that accommodates both without allowing one to undermine the other. Managing these competing demands is itself an organisational capability.

Leadership Reflection

1. **Innovation ambition**. Do we share an understanding of what innovation should achieve, or do functions pursue different definitions of success?

2. **Competitive capabilities**. Which combinations of technological, commercial and organisational capabilities genuinely differentiate us?

3. **Unexplored value**. Which capabilities developed for our existing business could create value in products, services or markets we do not currently serve?

4. **Portfolio choices**. Does our portfolio reflect deliberate strategic priorities, or individual projects competing for resources?

5. **Future readiness**. Are we investing only in expected outcomes, or also in capabilities that could enable future opportunities?

These questions are not designed to produce immediate consensus. They expose assumptions and strengthen strategic dialogue.

Closing Perspective

Innovation is often presented as a race to develop new ideas, adopt emerging technologies or launch new products. But these activities are only part of the challenge.

The more fundamental question is whether an organisation possesses the capabilities to recognise opportunities, combine resources in new ways and translate possibilities into meaningful value.

Technology matters. Customer insight matters. Operational excellence matters. Yet none is sufficient independently. Their combination determines what an organisation can achieve.

As advanced technologies become more accessible, competitive advantage may increasingly depend on distinctive combinations of capabilities that competitors cannot easily reproduce.

> ***Do not begin by asking how to generate more innovation. Begin by asking which capabilities will enable your organisation to create tomorrow's value.***

About the Author

Koen Klokgieters is the founder of InnoPlot and has spent more than three decades working at the intersection of strategy, innovation, technology and organisational transformation. His experience combines corporate leadership, consulting, entrepreneurship and education.

Through InnoPlot, he supports organisations and their leaders in translating strategic challenges into innovation capabilities, organisational change and measurable impact.

InnoPlot | Business & Technology Innovation (innoplot.com)

Conceptual Foundations

Adapted from Perspective on Innovation by Koen Klokgieters. The Innovation Capability Matrix and Innovation Portfolio Matrix are reproduced from the source article and attributed to Klokgieters (2014) which is adapted from Nagji & Tuff (2012). The discussion of AI-enabled capabilities and capability-oriented portfolio management extends the original perspective.

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